KALPHORA RESEARCH ACADEMY

SEBI Registered Research Analyst Masterclass & Mentorship

LIVE DEMO CLASS HANDOUT: Institutional Equity Analysis

Faculty: M Kalpesh (CFA Level 1, NISM Series XV Certified Lead Analyst)
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1. Core Quality Stock Selection Framework (4 Pillars)

- Pillar 1: Forensic Accounting (Clean Cash Flows, Promoter Integrity, Low Debt)
- Pillar 2: Economic Moat & Sustainable ROCE (> 18% over 5-year cycle)
- Pillar 3: Valuation Margin of Safety (DCF, Relative EV/EBITDA, P/E to Growth)
- Pillar 4: Asymmetric Risk-Reward Execution (Strict 1:3 RR, Trailing Stops)

2. 10 Forensic Accounting Red Flags to Avoid Multi-Cap Traps

1. Divergence between Operating Cash Flow (CFO) and Reported PAT.
2. Frequent changes in Statutory Auditors or qualified audit notes.
3. High Related Party Transactions (RPT) with promoter shell entities.
4. Excessive capitalization of R&D / software expenses on balance sheet.
5. Pledged promoter shareholding exceeding 15% of promoter stake.
6. Days Sales Outstanding (DSO) spiking faster than revenue growth.
7. Unexplained CWIP (Capital Work In Progress) lingering over 3+ years.

3. Intrinsic Valuation Formulas

ROCE = EBIT / (Total Assets - Current Liabilities)
FCFF = CFO - Capex + Interest*(1 - Tax Rate)
Enterprise Value (EV) = Market Capitalization + Total Debt - Cash & Cash Eq.

Statutory SEBI Regulatory Disclaimer:

This handout is strictly for educational purposes under the Kalphora Research Academy.
It does not constitute investment advice or any assurance of stock market returns.

KALPHORA RESEARCH ACADEMY - 6 MODULE CURRICUL

Module 1: SEBI RA Regulatory Framework & Regulation 25 Compliance

Code of conduct, mandatory disclosures, audit trails, avoiding conflict of interest.

Module 2: Balance Sheet Forensics & Working Capital Analysis

Evaluating footnotes, contingent liabilities, tax reconciliation, forensic screening tools.

Module 3: DCF & Relative Valuation Modeling (Hands-on Excel)

Building 3-statement models, calculating WACC, cost of equity, terminal value.

Module 4: Technical Price Action & Swing Setup Timing

Volume profile, 50/200 DMA support/resistance, ATR-based trailing stop-losses.

Module 5: Authoring Institutional Coverage Reports

Structuring executive thesis, competitive landscape, valuation comps, sensitivity tables.

Module 6: NISM Series XV Exam Preparation & Mock Question Bank

Chapter-by-chapter question drills, time management, 5 full-length mock exams.

Upcoming Live Mentorship Cohort Dates:

Next Live Weekend Batch starts: 15th of Next Month | Mode: Live Zoom + Recording Access
Student Support Desk: WhatsApp / Discord Mentorship Group with Lead Analyst

Admissions & Inquiries:

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